FUTURES MARKET BRIEF

Instrument: Gold (XAU/USD spot; COMEX GC proxy) | Event: June 2026 Non-Farm Payrolls (NFP)

Date: July 2, 2026 | By: James M. Doyle

HEADLINE

Gold rallied sharply after the June NFP report badly missed expectations, crushing rate-hike bets and sending the U.S. dollar lower.

WHAT HAPPENED

In the 12 hours before the 8:30 AM ET release, gold traded in a $4,040-$4,080 range. Within about an hour of the report, price broke higher into the $4,100-$4,150 zone - a move of roughly $75-$100 per ounce (about 1.8%-2.5%).

WHY IT HAPPENED

- Payrolls added only +57,000 jobs in June vs. consensus near ~110,000 (BLS, July 2, 2026).
- April and May payrolls were revised down by a combined 74,000 jobs.
- Unemployment ticked down to 4.2%, but labor force participation fell to 61.5% (-0.3 pp) - the rate improved partly because fewer people were actively looking for work.
- Markets reduced odds of near-term Fed rate hikes; Treasury yields and the dollar fell, lifting non-yielding gold.

KEY LEVELS TO WATCH

- Support: $3,920 (pre-event consolidation low)
- Resistance: $4,300 area (bear trendline / fair value gap zone on higher timeframes)
- Next catalyst: July 2026 Employment Situation (NFP) - Friday, August 7, 2026, 8:30 AM ET

TRADER TAKEAWAY

Weak labor data can support gold even when the unemployment rate looks stable on the surface. Until hiring re-accelerates, gold may stay sensitive to downside NFP surprises and any dovish repricing in rates.

EVENT-VOLATILITY FRAMEWORK (OPTIONAL PLAYBOOK)

When a Tier-1 release is likely to expand volatility but direction is uncertain, some traders use a bracket (straddle-style) setup instead of guessing direction.

Example using the pre-NFP range ($4,040-$4,080) and an expected expansion of ~$75-$100/oz:

- About 5 minutes before 8:30 AM ET, place opposing breakout orders around the range (long above highs, short below lows).
- Risk 1.25% of account per leg (example sizing rule).
- Stop loss: 25 points ($25/oz). Take profit: 50 points ($50/oz) on each leg.
- The losing leg should stop out while the winning leg captures the news spike - target net reward around 1:2 on the surviving position if the move is large enough.

Terminology note: gold is quoted in dollars per ounce (points), not forex pips. On COMEX GC (100 oz), a $1 move = $100 per contract and the minimum tick is $0.10 ($10/contract). On micro gold (MGC, 10 oz), divide dollar P/L by 10.

SOURCES

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